

NRG Energy

Business Development Dossier

Industry	Energy & Utilities
Revenue	\$30B
Employees	7,000
Ideal Customer Profile Score	77

ICP SCORING MODEL



ICP = Signals + Revenue + Employees + Fit (max 100)

Signals (0-35)	Top 4 signals scored; each = base(60%) + recency bonus <30d: 40% <90d: 30% <180d: 20% older: 10%
Revenue (0-25)	\$500M-\$10B sweet spot -> 70-100% of 25 pts Below \$500M -> pro-rata x 0.5 Above \$10B -> 60%
Employees (0-20)	2,000+ preferred (70-100%) 500-2K partial (50-70%) Below 500 -> pro-rata x 0.3
Fit (0-20)	High-fit types: reorg, transformation, M&A, hiring, funding, partnership -> 5 pts ea (max 12) + diversity 2/type (max 8)

Prepared March 19, 2026

McChrystal Group

Leadership Advisory & Organizational Effectiveness

SECTION 1

Organization Snapshot

Legal Name	NRG Energy, Inc.
Headquarters	Houston, Texas
Founded	1989
Ownership	Public (NYSE: NRG)
Footprint	

Operations across the United States with generation assets concentrated in Texas, the Northeast, and California. CPower VPP platform serves 2,000+ commercial and industrial customers nationally. Retail brands (Reliant, Green Mountain) primarily in deregulated markets.

SECTION 1b

Company Overview

NRG Energy is a Houston-based integrated power company serving ~8 million customers. Its \$12B acquisition of LS Power's generation portfolio and CPower VPP platform doubled generation capacity to 25 GW and added a software-driven virtual power plant business, positioning NRG at the intersection of traditional energy and technology-enabled demand response.

SECTION 2

Financial Health & Growth Stage

Understanding NRG Energy's financial position and trajectory is critical to framing any engagement conversation.

Revenue ~\$30B. \$12B LS Power acquisition at 7.5x 2026 EV/EBITDA. Expected 18%+ EPS accretion and \$2B+ incremental free cash flow. Long-term CAGR target raised to >14%. \$2.3B secondary offering (March 2026) as LS Power exits stake - signals financial market confidence. Key tailwind: AI data center demand and energy market tightening. Key risk: integration execution and debt load from \$12B acquisition.

SECTION 3

Leadership Team Profiles

The following contacts are recommended as primary outreach targets - champion-level leaders who feel the organizational pain daily and can sponsor McChrystal internally.

Unknown - Head of CPower / VPP Business [PRIORITY TARGET]

Came with LS Power acquisition

Outreach rationale: CPower is the future of NRG's business model. This leader must integrate a software/technology team into a power generation company - the cultural translation challenge is immense.

Unknown - SVP of Generation Operations [PRIORITY TARGET]

Unavailable

Outreach rationale: Now managing 25 GW across a doubled fleet - operational integration and shared standards across legacy NRG and LS Power plants.

Additional leadership team members relevant to the engagement:

Larry Coben - Chairman and CEO

Former energy investor; joined NRG board during its 2017 activist campaign

SECTION 4

Organizational Culture & Structure

Culture and structure are often where McChrystal Group finds the deepest leverage. The following signals indicate how NRG Energy operates today and where friction exists.

Organizational Structure

Post-acquisition NRG is organized across: Generation (25 GW physical fleet), Retail (Reliant, Green Mountain brands serving 8M+ customers), and CPower (virtual power plant / demand response technology platform). The CPower business operates with a fundamentally different culture - software engineers, data scientists, and commercial optimization teams - than the generation workforce of plant operators, maintenance crews, and dispatch teams.

Culture Signals

NRG has undergone its own cultural transformation over the past 5 years - from a troubled, debt-laden utility to an integrated energy platform. Larry Coben's investor background brings a commercial, returns-focused culture. The LS Power acquisition adds two distinct cultures: traditional power plant operations (LS Power generation fleet) and technology-startup culture (CPower VPP platform). The three-culture merger (NRG legacy + LS Power generation + CPower tech) is organizationally complex. [INFERRED: CPower employees may resist integration into a large utility if it threatens their startup agility]

SECTION 5

Recent News & Trigger Events

The following developments from the past 18 months create urgency and provide natural conversation entry points for engaging NRG Energy.

1. 2026-01-30 - NRG completes \$12B LS Power acquisition - fleet doubles to 25 GW

Largest acquisition in NRG history; integration timeline begins immediately

2. 2026-03-03 - \$2.3B secondary offering as LS Power exits stake

Financial markets confident in integration thesis; execution must deliver

3. 2026-01-01 - CPower VPP platform integrated - 6 GW virtual capacity across 2,000+ C&I customers

Technology platform integration is the strategic differentiator but requires organizational bridge-building

4. 2025-05-01 - NRG announces LS Power acquisition agreement

Deal announcement set expectations for transformative integration

5. 2026-02-01 - AI data center demand accelerates - NRG positioned as key power supplier

Market opportunity validates strategy but demands faster organizational integration to capitalize

SECTION 6

McChrystal Fit Assessment

strong fit signals (three-culture merger, technology-industrial integration) and active trigger (Jan 2026 close), but NRG's revenue (\$30B) is above the ICP sweet spot, and the CEO's investor background may prioritize financial returns over organizational transformation advisory.

Primary Problem

Integrating three distinct cultures - NRG retail/commercial, LS Power generation, and CPower technology/VPP - into a unified platform while the AI data center opportunity demands faster organizational alignment than typical utility integration timelines allow.

Best McChrystal Capability Fit

Cross-functional alignment between industrial operations (power plants) and technology platform (VPP/demand response). McChrystal's model for connecting different operating cultures under shared consciousness directly applies to the generation-technology integration challenge.

Likely Objections to Engagement

Energy industry may view McChrystal as lacking sector expertise
 Post-\$12B acquisition, budget may be constrained by debt management priorities
 CEO Coben's investor background may prioritize financial engineering over organizational advisory

Competitive Advisory Landscape

McKinsey Energy practice
 Bain (strong in energy M&A integration)
 Internal integration team

SECTION 7

Conversation Entry Points

These questions are designed for a Senior Partner's first conversation. Each opens a thread that naturally leads to McChrystal Group's capabilities without a direct pitch.

1. How is the CPower team integrating - are they maintaining their technology-startup operating rhythm or being absorbed into NRG's utility operating cadence?

Gets at the central cultural tension: preserving CPower's agility while connecting it to NRG's infrastructure.

2. With the fleet doubled to 25 GW overnight, how are you building shared operational standards across legacy NRG and LS Power plants without slowing down either operation?

Operational integration question that maps to McChrystal's shared consciousness methodology.

Recommended Meeting Framing

Frame around the generation-technology culture challenge. McChrystal has experience connecting operational units (plant operators) with intelligence/technology units (VPP platform) - the same challenge NRG faces.

SECTION 8

Brand Insights & Market Positioning

Brand strategy reveals organizational priorities and coordination challenges. The following analysis connects NRG Energy's market positioning to potential McChrystal engagement opportunities.

NRG's brand portfolio includes Reliant (Texas), Green Mountain (renewables), and now CPower (demand response). Brand challenge: unifying a retail energy brand, a clean energy brand, and a technology platform brand under one corporate identity. The AI data center narrative is brand-positive but requires organizational delivery. [INFERRED: brand strategy is likely evolving toward 'integrated energy intelligence platform' positioning]

SECTION 9

Deep McChrystal Group Fit Analysis

This is the strategic case for pursuing NRG Energy. It synthesizes findings from all previous sections into a comprehensive engagement thesis with specific fit dimensions, expected outcomes, stakeholder mapping, and a phased pursuit strategy.

9a. Fit Dimensions

Fit Dimension 1: Three-Culture Integration

NRG legacy (retail/commercial), LS Power generation (industrial), and CPower (technology). Three distinct operating cultures must find shared purpose while maintaining their specialized capabilities.

Fit Dimension 2: Industrial-Technology Platform Convergence

Power plant operators and software engineers have fundamentally different workflows, decision-making speeds, and success metrics. Building organizational bridges between these worlds is McChrystal's core capability.

Fit Dimension 3: Speed-of-Market vs. Speed-of-Integration

AI data center demand is creating a narrow window of competitive advantage. NRG must integrate faster than utility-industry norms allow. McChrystal's rapid integration methodology (built for military operations) compresses timelines.

9b. Cumulative Case

Signal chain: \$12B acquisition -> fleet doubled -> CPower VPP integration -> AI data center opportunity -> 18% EPS accretion expectations -> LS Power stake exit. The market opportunity creates urgency that standard utility integration timelines can't accommodate.

Revenue potential: \$500K diagnostic (3 months), \$1M-\$1.5M operating model (6-9 months), \$400K/year ongoing.

9c. Enterprise Issues

1. CPower Cultural Absorption Risk: Technology-startup team risks losing its agility within a large utility. If CPower employees leave, the strategic differentiator walks out the door.
2. Doubled Fleet Standardization: 25 GW across legacy NRG and LS Power plants with different maintenance practices, safety protocols, and operational standards.
3. Three-Culture Decision-Making: With three legacy organizations, every decision has multiple stakeholder groups with different priorities and operating norms.
4. AI Opportunity Window: The competitive window for AI data center partnerships is narrow. Organizational integration delays translate directly to missed market share.
5. Debt Load Management: \$12B acquisition debt constrains discretionary spending, creating tension between integration investment and financial discipline.

9d. Expected Outcomes

1. CPower Integration Framework - Preserve technology team agility within utility infrastructure. Measurable: CPower employee retention above 90% and VPP capacity growth of 20% within 12 months.
2. Fleet Operations Unification - Shared standards across 25 GW without disrupting plant performance. Measurable: unified safety and maintenance standards within 12 months; availability metrics maintained.
3. AI Data Center Coordination - Cross-functional team for co-location and demand response partnerships. Measurable: 3+ new AI data center partnerships within 12 months.
4. Three-Culture Alignment - Shared purpose narrative and operating cadence across all three legacy organizations. Measurable: employee engagement parity across legacy organizations within 12 months.

9e. Key Stakeholders

Generation (25 GW)

Leader: Unknown

Function: Power plant operations

McChrystal Relevance: Industrial culture - fleet standardization

CPower (VPP)

Leader: Unknown

Function: Demand response technology

McChrystal Relevance: Tech culture - preservation and integration

Retail (Reliant, Green Mountain)

Leader: Unknown

Function: Consumer energy

McChrystal Relevance: Commercial integration - customer-facing

Commercial/AI

Leader: Unknown

Function: Data center partnerships

McChrystal Relevance: New capability - cross-functional coordination

9f. Opportunity Thesis

Why Now: \$12B deal closed Jan 2026. CPower integration happening now. AI data center window is narrowing. Organizational delays cost market share.

Why McChrystal: McKinsey Energy can advise on strategy. The challenge is operational: making power plant operators and software engineers share consciousness and coordinate in real time. McChrystal built this capability in military contexts where conventional and technology forces had to integrate.

Phased Engagement:

- Phase 1 (\$400K-\$500K, 2-3 months): CPower integration diagnostic + cross-unit leadership alignment. Beachhead: CPower team - bounded, high-value, and the strategic differentiator.
- Phase 2 (\$750K-\$1M, 6-9 months): Three-culture operating model across all business units.
- Phase 3 (\$300K-\$400K/year): Ongoing advisory.

Multi-Threaded Pursuit:

- Thread 1: CPower/VPP leader - direct approach on technology-industrial integration
- Thread 2: SVP Generation Operations - fleet standardization angle
- Thread 3: McChrystal network - energy industry connections, military veterans in NRG's Houston operations